

## FX Daily: Risk resilience and month-end flows restraining USD

The dollar isn't shining despite higher oil prices. The resilience in equities and month-end flows are, in our view, the main causes. Markets will be awaiting more headlines on whether an interim deal is a possibility while preparing for the FOMC meeting and big tech earnings tomorrow. The Bank of Japan kept rates on hold as expected, with a hawkish bias



The dollar has found only limited support so far from the interim ceasefire proposal from Iran

### ➔ USD: Struggling to shine

Iran's proposed interim ceasefire deal, which would reopen the Strait of Hormuz while postponing nuclear talks, has been met with little enthusiasm in Washington, according to the latest reports. That is pushing markets back into a higher-uncertainty regime, with oil prices staying well-supported.

In theory, this should be a favourable environment for the dollar, yet USD has found only limited support so far. We see two reasons. First, US equities continue to show remarkable resilience, and corrections in RoW stock markets have also not been dramatic. That remains a key missing link for a sustained dollar rally; EUR/USD, like many other USD crosses, currently shows a higher beta to

global equities than to oil prices or rate differentials. Second, month end flows should be acting as a drag on the dollar, given relative US equity outperformance in April.

Against that backdrop, markets have reverted to favouring high beta commodity currencies such as the Australian dollar, the New Zealand dollar, the Norwegian krone, and the Canadian dollar. These currencies, however, remain vulnerable to disappointing earnings from US tech firms this week, to which US equity indices appear more sensitive than to war headlines.

Once month end flows roll off in the coming days, barring tangible progress in negotiations, we would expect USD gains to accelerate. For today, some focus will be on consumer confidence figures, although a wait and see approach ahead of [tomorrow's FOMC decision](#) and big tech earnings (Alphabet, Microsoft, Amazon and Meta) could keep volatility in USD crosses somewhat contained.

Elsewhere, the Bank of Japan held rates, as expected, at 0.75%. The 6-3 vote marks the most significant divergence seen during Kazuo Ueda's tenure as Governor, indicating increased momentum towards policy normalisation. Market participants currently estimate a 74% probability of an interest rate increase at the Bank of Japan's next policy meeting, scheduled for 16 June.

*Francesco Pesole*

## ➔ EUR: Rising hawkishness ahead of ECB day

EUR/USD is trading around 0.5% below our estimate of short term fair value. As discussed above, global equities currently carry the highest beta in our model and, when combined with supportive rate differentials, are offsetting the negative impact of higher oil prices.

As discussed in our [ECB cheat sheet](#), we don't expect the Governing Council to push back against a largely expected hike this summer. However, market expectations have grown more hawkish in the past week due to higher oil prices, increasing the risk that this hawkish bar may not be met by a still relatively cautious ECB.

Still, a material dovish surprise is needed to bring EUR/USD sustainably below 1.170 unless relative optimism around a resolution in the Gulf fades.

*Francesco Pesole*

## ⬆️ HUF: First NBH meeting since elections will focus on new forward guidance

Hungary remains the number one story in the CEE space, even more than two weeks after the elections. Today will be the first meeting of the National Bank of Hungary since the elections. We expect, in line with the consensus, that rates will remain unchanged at 6.25%; the focus will be mainly on the forward guidance and how much it has changed since the last meeting in March. Of course, on one hand, the energy shock and the US-Iran conflict continue to push inflation up. On the other hand, we have a strong market rally in the wake of the elections, stronger FX and the prospect of unlocking EU funds soon.

The market has shifted significantly more dovish after the elections, and Hungary is one of the few

places in the world where the market is pricing in rate cuts of around 50bp in the 18-month horizon. While the picture has changed significantly, there are still many unknowns on the table amid the unresolved US-Iran conflict. The NBH is therefore unlikely to rush with rate cuts, and the current market pricing shows the maximum possible in our view.

In turn, we see the risk rather on the hawkish side for today's meeting. This could help FX, which has been fluctuating in the 360-367 EUR/HUF range since the elections. At the same time, the central bank does not have much power in the current environment to influence the markets with a dominant global story. Rates, in our view, will continue bull flattening and compress the long-end country premium. Here, more attention may be paid to the upcoming PM's meeting in Brussels on Wednesday on the unlocking of EU funds.

*Frantisek Taborsky*

## 📈 KZT: Euroclear plans and corporate issuance support the capital inflow story

Recent headlines are supportive for Kazakhstan's capital inflows. The National Bank has announced plans to include [KZT government bonds into Euroclear in 2027](#), while state-owned corporate issuers such as [Baiterek](#) and [QazaqGaz](#) are planning Eurobond issuance.

In our view, this reflects a mix of opportunity and necessity. On the opportunity side, higher commodity prices – [supportive for energy exporters in the CIS](#), [high domestic real rates](#), and improved market access – should support foreign interest in local currency debt. On the necessity side, as the government pursues fiscal consolidation and lower FX sales from the sovereign fund, portfolio inflows and market funding by quasi sovereigns are becoming a more important source of financing.

Russia's pre 2014 experience suggests that much of the impact from Euroclear inclusion can start around the announcement stage. In the 12 months after Russia announced its Euroclear agreement in June 2012, average monthly net foreign portfolio inflows into local currency debt (OFZ) increased around fivefold, while the non resident share of the market rose from 7% to 28%. The actual Euroclear connection followed around eight months after the announcement. By comparison, non-residents currently hold around \$5bn of KZT government debt, or c.9% of the market, and the net monthly inflow so far has been around \$0.2 bn.

From a balance of payments perspective, this matters because portfolio flows have historically been Kazakhstan's weak link. As of 2025, only 18% of the central government-related \$9.2bn capital inflow reflected foreign portfolio investment, while banks and companies (including quasi-sovereigns) saw a net portfolio outflow of \$3.8bn. Therefore, stronger non resident participation in KZT government bonds, together with more active quasi sovereign and corporate issuance, could partially offset that vulnerability.

Overall, the combination of potentially stronger portfolio inflows and less reliance on sovereign FX sales, alongside the likelihood of a smaller current account deficit as oil prices rise, adds further upside to our [already constructive KZT view](#). That said, the tenge remains sensitive to global risk sentiment – particularly after the 19% appreciation to USD over the last seven months, including around 8ppt since the outbreak of the Iran war.

*Dmitry Dolgin*

## Author

### Frantisek Taborsky

EMEA FX & FI Strategist

[frantisek.taborsky@ing.com](mailto:frantisek.taborsky@ing.com)

### Francesco Pesole

FX Strategist

[francesco.pesole@ing.com](mailto:francesco.pesole@ing.com)

### Dmitry Dolgin

Chief Economist, CIS

[dmitry.dolgin@ing.de](mailto:dmitry.dolgin@ing.de)

### Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

[chris.turner@ing.com](mailto:chris.turner@ing.com)

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